



Q1FY23 Results were largely in line with estimates with gaining market share across almost its entire portfolio and maintaining demand momentum in Rural as well as Urban at the same time

- **Revenue:** grew by 8.1% YoY to Rs 28220mn (**QoQ +12.1%**). **India Business volume growth stood at 5%.**
- **EBITDA:** de-grew 1.5% YoY to Rs 5,437mn (QoQ +19.9%)
- **EBITDA Margins** at 19.26% (Vs 18.01% YoY) (Vs 21.14% QoQ)
- **PAT** grew by 0.7% to Rs 4,403 Mn (tax rate stood at 21.8% Vs 22.8% YoY & 24.5% QoQ)
- **Gross margins reduced on a QoQ basis by 160 bps**

Expenses

- **RM to Revenue** stood at 54.14% v/s 51.9% YoY (QoQ 52.56%)
- **A&P spends to Revenue:** stood at 5.6% v/s 7.2% YoY and 6% QoQ
- **Other expenses to Revenue:** stood 11.5% v/s 9.9% YoY (QoQ 12.4%)
- **Employee Cost to Revenue** stood 9.6% v/s 9.9% YoY (QoQ 11.1%)

Outlook:

- Health supplements de-grew by 36% on back of high growth for 2 years
- Rural growth equal to Urban growth (~8%) as opposed to market consensus of rural degrowth

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Net sales	87,036	95,617	1,08,887	1,20,368	1,32,404
growth (%)	2.0	9.9	13.9	10.5	10.0
EBIDTA Margins	20.6	20.9	20.7	21.1	21.7
Adjusted net profit	15,288	16,933	18,045	19,383	22,410
EPS (Rs)	8.7	9.6	10.2	11.0	12.7
growth (%)	1.5	10.7	6.5	7.4	15.6
P/E (x)	59.5	53.8	50.5	47.0	40.6
P/B (x)	13.8	11.9	10.9	9.5	8.4
RoCE (%)	26.5	25.5	25.4	24.6	25.1
RoE (%)	23.1	22.1	21.5	20.3	20.6
Dividend yield (%)	0.5	0.5	0.9	1.1	0.9

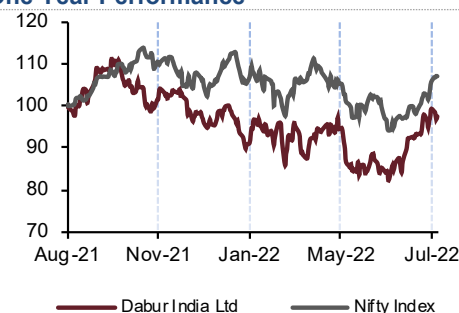
Source: Dalal and Broacha

Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	610	6

Market data

Current price	Rs	578
Market Cap (Rs.Bn)	(Rs Bn)	1,017
Market Cap (US\$ Mn)	(US\$ Mn)	12,844
Face Value	Rs	1
52 Weeks High/Low	Rs	658.95 / 482.2
Average Daily Volume	('000)	1,853
BSE Code		500096
Bloomberg		DABUR.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	67.24	67.38
Public	32.76	32.62
Total	100	100

Source: BSE

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Conference Call and Other Segmental KTA's

A. DOMESTIC Revenue +10% YoY growth @ Rs 21,030mn. (on back of 33% growth) 3 year CAGR +10.2%

1. Health Care (25.7% of Domestic Revenue) de-grew 21% YoY to Rs5390mn. (on back of 2 years of ~30% growth)

- Health Supplements (11.8% of domestic revenue) de-grew by 35% on account of high bases of Chyawanprash and Honey in Q1FY22 and Q1 FY21
 - Dabur Glucose registered strong double-digit growth on the back of robust execution and intense summer season
 - Market Share for Chyawanprash +240bps and Honey +190bps
- Digestive (6.1% of Domestic Revenue) +30.5% YoY - strong growth on account of robust double digit growth in both Hajmola and Pudina Hara
- OTC and ethicals (8.1% of domestic revenue) de-grew by 15.4% YoY, Declined on account of high bases of Covid contextual products in Q1 FY22 and Q1 FY21

2. Home and Personal Care (47.6% of Domestic Revenue) +16% YoY to Rs 9970mn. 3 year CAGR 7.7%

- Oral Care (17.1% of domestic revenue) +12.5% YoY.
 - Toothpaste portfolio recorded 13.7% growth driven by good growth in Dabur Red, Meswak and Dabur Herb'l. Market share in toothpaste category improved by ~20 bps
- Hair Oil & Shampoo (20% of Domestic Revenue) +10% YoY growth.
 - Hair oils portfolio recorded 8.1% growth on a high base of 38.4% | Market share for hair oils portfolio improved by ~30 bps
 - Shampoos portfolio continued on strong growth trajectory, growing at 17% despite a high base of 41.3% growth | Market share in shampoo category increased by ~50 bps
- Home Care (6.7% of domestic revenue) +51.9% YoY. 3 year CAGR at 11.3%
 - Robust double-digit growth for Odonil, Odomos and Sanifresh | Odomos' MS increased by ~190 bps
- Skin Care (3.6% of Domestic Revenue) 11.4% YoY. 3 year CAGR at flat
 - Ex-Sanitizer, Skin care portfolio registered 35% growth | Key brands Fem, Oxy and Gulabai registered strong growth

3. Foods and Beverages (26.7% of Domestic Revenue) +50% YoY, 3 year CAGR at 20%.

- Beverage business continued to exhibit strong momentum across segments | Market share of Real Fruit Juice increased by ~330 bps
- Drinks and milkshakes added to the total addressable market expansion and are seeing good traction
- Hommade brand continued to perform well driven by innovation and portfolio expansion

B. International Business: flat YoY to Rs 6633 mn || CC growth @ 8% overall, 3 year CAGR at 5%

- Constant currency YoY growth was as follows: Mena -3%, Egypt +17.5%, SSA +35.4%, Turkey (Hobby) +88%, Namaste -10.3% and SAARC +17.3%
- Turkish Lira depreciation continues

Other KTA's and Outlook

- Company gained market share in 98% of portfolio
- Food category did 100 crs of sales previous year and expects to achieve 200 crs this year and 500 crs in 3-4 years time
- 9% of sales came from e-commerce
- Q1 inflation is significantly higher than what is expected of H2
- Sanitizer sales have gone down to 0
- Margins on all fronts going up to precovid levels. Historically Q1 is always weaker in margins compared to full year margins but it didn't apply to Covid years. Now the management feels that they can return to the old trend.
- Aspire to have 5% of revenue from NPD, currently lower than 5%
- H2 should see inflation softening but will see GM compression
- Company has faced inflation of roughly 19% in absolute terms while it has passed on only 5% (over the past 2 years)
- Positive news is that company is seeing equal traction from Rural and Urban (as opposed to market data by Nielsen which suggested Rural slowdown).

Outlook: Company feels that H2 will be better with inflation softening (some GM compression will be seen in Q3). The positive part is that company is seeing equal traction from Rural and Urban (as opposed to market data by Nielsen which suggested Rural slowdown). Company aims to close the year with 1.4 Mn urban outlets (1.35 Mn currently).

Quarterly Performance Analysis

Exhibit 1

Particulars	Q1FY23	Q1FY22	YoY (%)	Q4FY22	QoQ (%)
Revenue from Operations	28224.3	26115.4	8.1%	25178.1	12.1%
Other Income	1005.5	848.4	18.5%	991.4	1.4%
Total	29229.8	26963.8	8.4%	26169.5	11.7%
COGS	15281.1	13553.5	12.7%	13232.6	15.5%
% of sales	54.14%	51.90%		51.16%	
Employee Benefit Expense	2698.9	2582	4.5%	2790.7	-3.3%
% of sales	9.56%	9.89%		9.57%	
Other Expenses	3235.7	2575.9	25.6%	3115.8	3.8%
% of sales	11.46%	9.86%		10.06%	
Advertisement and Promotional Expenses	1572	1883.7	-16.5%	1503.3	4.6%
% of sales	5.57%	7.21%		7.18%	
EBITDA excluding other income	5436.6	5520.3	-1.5%	4535.7	19.9%
EBIDTA MARGINS	19.26%	21.14%		18.01%	
EBITDA including other income	6442.1	6368.7	1.2%	5527.1	16.6%
Depreciation	676.0	613.1	10.3%	650.5	3.9%
EBIT	5766.1	5755.6	0.2%	4876.6	18.2%
Finance costs	121.5	75	62.0%	117.5	3.4%
PBT Ex of JV and Exceptional items	5644.6	5680.6	-0.6%	4759.1	18.6%
profit/loss from JV	-3.4	-0.7	385.7%	-12	-71.7%
exceptional items	0	0		850	
PBT	5641.2	5679.9	-0.7%	3897.1	44.8%
Tax Expense	1230.6	1296.9	-5.1%	953.7	29.0%
Tax Rate	21.8%	22.8%		24.5%	-10.9%
PAT	4410.60	4383.00	0.6%	2943.40	49.8%
NPM	15.1%	16.3%		11.2%	
Minority Interest	7.40	9.70	-23.7%	1.20	516.7%
NPAT	4403.20	4373.30	0.7%	2942.20	49.7%
NPM	15.1%	16.2%		11.2%	34.0%
Adjusted PAT	4403.20	4373.30	0.7%	3584.19	22.9%
Equity	1767.4	1767.4		1767.4	
Face Value	1	1		1	
Number of Shares	1767.9	1767.9		1767.9	
Basic EPS Calculated	2.49	2.47		2.03	

Source: Dalal & Broacha Research, Company

Valuation

Company is expanding into newer sub-segments and bifurcating existing products to increase TAM. We remain very positive on the current developments in the company and leadership under the current management.

At Rs 580, company trades 45.8x FY24EEPS of Rs 12.7. **We maintain our rating of ACCUMULATE for Long Term with a target price of Rs 610. (48x FY24EEPS).**

Financial

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	87,036	95,617	1,08,887	1,20,368	1,32,404
Cost of sales	69,112	75,590	86,349	94,972	1,03,684
Operating Profit	17,924	20,027	22,538	25,396	28,720
Depreciation	2,205	2,401	2,529	2,681	2,947
PBIT	15,719	17,626	20,009	22,714	25,773
Other income	3,053	3,253	3,932	3,229	4,092
Interest	495	308	386	707	693
Profit before tax	18,277	20,570	23,555	25,236	29,173
Exceptional items	1,000	-	850	-	-
share of profit/loss in JV	(0)	(10)	(18)	(20)	(22)
PBT (Post Extra Ordinary)	17,276	20,560	22,687	25,216	29,151
Provision for tax	2,797	3,611	5,264	5,800	6,705
Reported PAT	14,479	16,950	17,423	19,416	22,446
MI	30	17	31	33	36
Adjusted PAT	15,288	16,933	18,045	19,383	22,410

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E
Equity capital	1,767	1,767	1,768	1,768	1,768
Reserves	64,290	74,868	82,045	93,675	1,07,121
Net worth	66,058	76,635	83,813	95,443	1,08,889
Minority Interest	365	367	406	439	475
Non Current Liabilities	2,479	2,127	5,401	5,225	5,049
Current Liabilities	24,639	29,342	33,225	34,409	36,648
CAPITAL EMPLOYED	93,540	1,08,471	1,22,845	1,35,516	1,51,061
Non Current Assets	44,738	60,712	79,677	79,368	80,499
Fixed Assets	20,117	20,037	21,752	21,370	22,424
Non Current Investments	14,092	34,136	53,651	53,651	53,651
Non Current tax assets	231	222	52	52	52
Long Term Loans and Advances	246	225	-	-	-
Other NON Current Assets	6,175	2,226	1,221	1,293	1,371
Goodwill	3,360	3,360	2,512	2,512	2,512
Investment property	516	505	491	491	491
Current Assets	48,803	47,759	43,168	56,148	70,562
Current investments	13,910	7,460	8,546	8,546	8,546
Inventories	13,796	17,343	19,114	21,696	23,960
Trade Receivables	8,139	5,616	6,462	7,334	8,100
Cash and Bank Balances	8,114	13,290	5,701	14,892	25,929
Short Term Loans and Advances	131	145	-	-	-
Other Current Assets	4,713	3,906	3,346	3,680	4,027
CAPITAL DEPLOYED	93,540	1,08,471	1,22,845	1,35,516	1,51,061
ROA	16.3	15.6	14.7	14.3	14.8

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	14,479	16,950	17,423	19,416	22,446
Add: Depreciation	2,205	2,401	2,529	2,681	2,947
Minority Interest	(30)	(17)	(31)	(33)	(36)
Cash profit s (Inc)/Dec in	16,654	19,334	19,921	22,065	25,357
-Sundry debtors	197	2,523	(846)	(873)	(766)
-Inventories	(790)	(3,547)	(1,771)	(2,582)	(2,265)
-Loans/advances	(91)	8	369	-	-
CL & provisions	11	3,967	1,264	1,207	2,263
'- Other Assets	(5,568)	4,765	1,736	(406)	(425)
Change in working capital	(6,242)	7,716	753	(2,654)	(1,191)
CF from Oper. activities	10,412	27,050	20,674	19,411	24,165
CF from Inv. activities	(284)	(15,905)	(23,981)	(2,300)	(4,000)
CF from Fin. activities	(5,287)	(5,969)	(4,282)	(7,920)	(9,128)
Cash generated/(utilised)	4,841	5,177	(7,589)	9,191	11,037
Cash at start of the year	3,273	8,114	13,290	5,701	14,892
Cash at end of the year	8,114	13,290	5,701	14,892	25,929
	8,114	13,290	5,701	14,892	25,929
Rat ios	FY20	FY21	FY22	FY23E	FY24E
OPM	21	21	21	21	22
NPM	17	17	16	16	16
Tax rate	15	18	22	23	23
Growth Rat ios (%)					
Net Sales	2	10	14	11	10
Operating Profit	3	12	13	13	13
PBIT before other income	1	12	14	14	13
PAT	2	11	7	7	16
Per Share (Rs.)					
Net Earnings (EPS)	9	10	10.2	11.0	12.7
Cash Earnings (CPS)	7	8	9	9	11
Dividend	3	3	5	6	4
Book Value	37	43	47	54	62
Free Cash Flow	5	9	6	7	9
Valuation Rat ios					
P/E(x)	60	54	50	47	41
P/B(x)	14	12	11	10	8
EV/EBIDTA(x)	51	45	41	36	31
Div. Yield(%)	1	1	1	1	1
FCF Yield(%)	1	2	1	1	2
Return Rat ios (%)					
ROE	23%	22%	22%	20%	21%
ROCE	27%	26%	25%	25%	25%

Source: Dalal & Broacha Research

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